



India Apparel Market

Research Brief for Triangulation

Synthesised from 6 sources · CareEdge Ratings · Deloitte India · TechSci Research · Technavio · Hindustan Times / Ethnic Wear Research · McKinsey State of Fashion 2025

Prepared June 2026 · Zudio Store Potential Project · Includes 9 data exhibits

■9.3L Cr Total apparel market FY25E	■16L Cr Projected by FY30	12.87% Fashion retail CAGR 2024–30	12–17% India non-luxury growth 2025E	41% Organised retail share FY25
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India's Apparel Retail Market to Touch ~Rs 16 Lakh Crore by FY30

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■9.3L Cr	■16L Cr	~7%	41%	22%	10–13%
Total apparel FY25E	FY30 projection	CAGR since FY18	Organised share	E-commerce share	Organised growth rate

Exhibit 1 — India Total Apparel Market Size (FY18-FY30P)

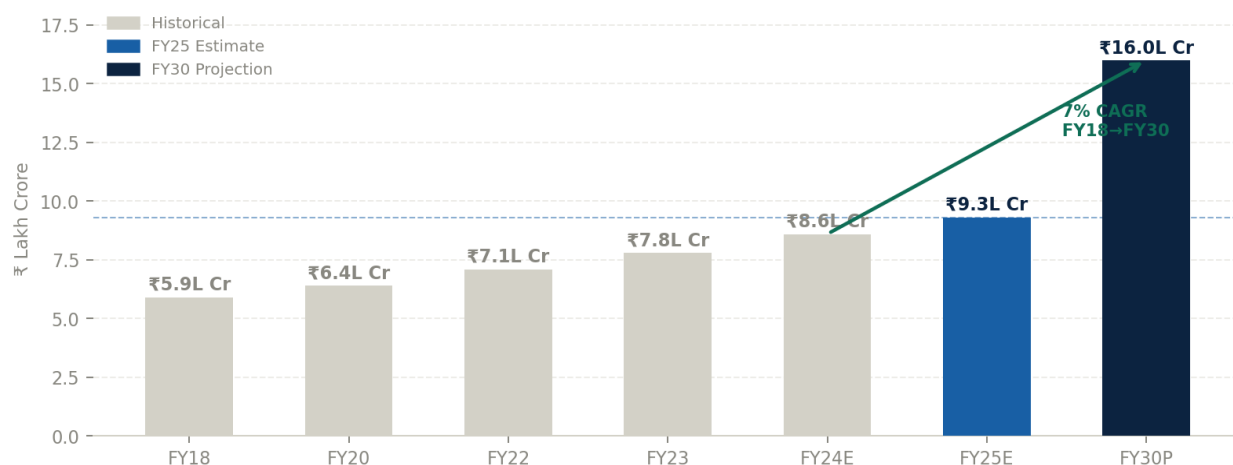


Exhibit 1 — India total apparel market FY18–FY30. Organised sector growing at 10–13%, significantly ahead of total market's 7% CAGR.

Exhibit 2 — Apparel Market Structure: FY25 vs FY30

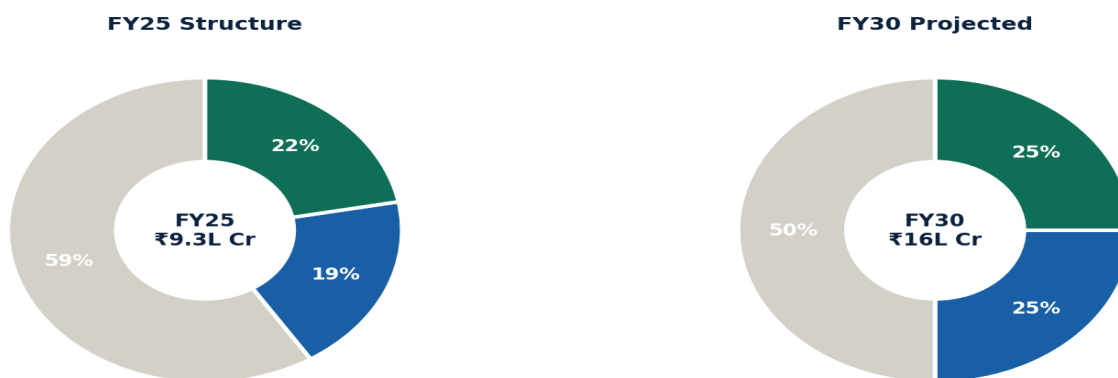


Exhibit 2 — Apparel market structure FY25 vs FY30. Unorganised share shrinks from 59%→50%; organised B&M; grows 19%→25%; e-commerce 22%→25%.

VALUE FASHION — DIRECT WALLET SIZING INPUT

■3.5L Cr	■5.0L Cr	7%	~23%	16%
Value fashion FY24E	Value fashion FY30	Value fashion CAGR	T2/T3 share of apparel demand	Top-7 share of organised mkt

Exhibit 3 — Value Fashion vs Total Apparel: Market Sizing

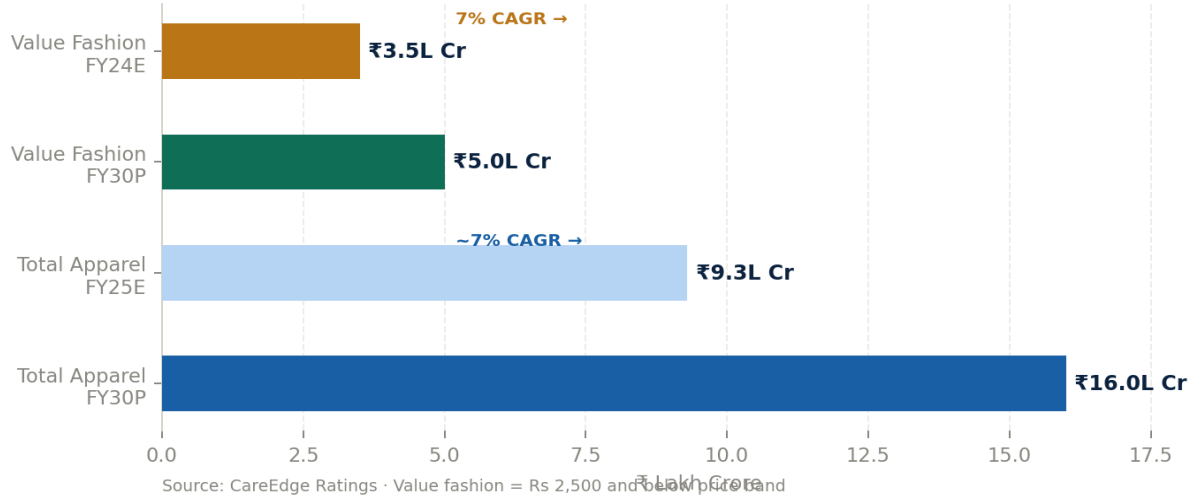


Exhibit 3 — Value fashion (Rs 2,500 and below) vs total apparel market sizing. Value fashion = Rs 3.5L Cr in FY24, growing to Rs 5.0L Cr by FY30 at 7% CAGR.

KEY INSIGHTS

- GST tailwind for Zudio:** Apparel below Rs 2,500 now taxed at 5% (down from 12% for Rs 1k–2.5k band). Zudio's entire price architecture sits in this band — direct margin/pricing uplift. Can be modelled as ~60–70bps EBITDA improvement. [\[MODEL INPUT\]](#)
- T2/T3 store expansion validated:** Zudio, Max Fashion, Yousta, StyleUp all named explicitly as brands expanding in smaller cities. Store opening programme is structurally supported. [\[ZUDIO EDGE\]](#)
- Private label dominance:** Virtually all value retailers are private-label-led. Zudio's 100% private label model enables higher margins and faster assortment turns vs multi-brand competitors. [\[ZUDIO EDGE\]](#)
- Growth moderating post-COVID:** Quarterly YoY growth moderating to +11–15% from +17–19% peaks. Normalisation, not deterioration — base effects unwinding. Real underlying growth is solid.

Exhibit 9 — Top-7 Apparel Retailers: Quarterly Revenue & YoY Growth

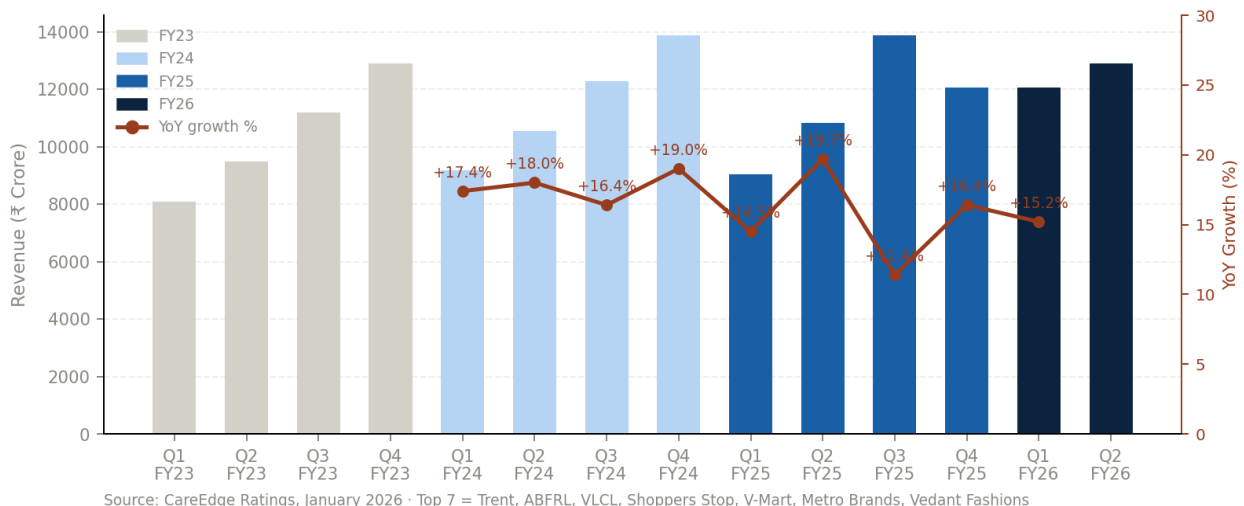


Exhibit 9 — Top-7 apparel retailers quarterly revenue (Rs Crore) and YoY growth. Growth moderating to +11–15% range in FY25–26 from +17–19% in FY23–24.

Fashion is projected to drive 20% of total retail sector growth in India over the next decade. Consumers are moving from volume-led to intentional, quality-driven buying. 40% tried new brands in the past year.

Exhibit 4 — Deloitte India Consumer Cohorts & Zudio Relevance

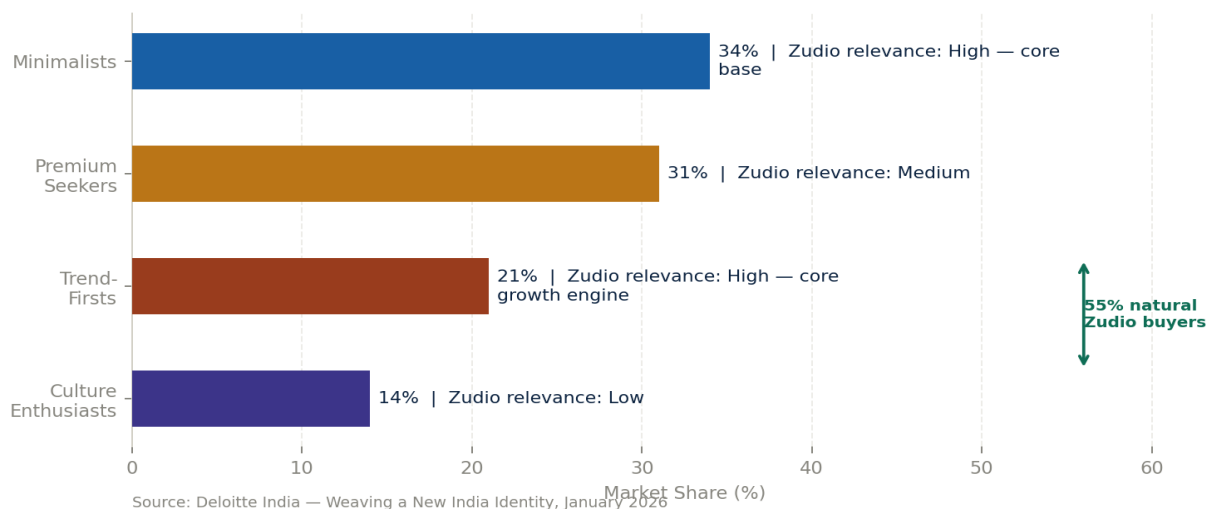


Exhibit 4 — Deloitte India four consumer cohorts. Minimalists (34%) + Trend-Firsts (21%) = 55% of consumers are natural Zudio buyers. Premium Seekers (31%) are the accessible-premium opportunity.

4 CONSUMER COHORTS — WALLET MODEL INPUT

Cohort	Share	Key Behaviour	Demand Model Implication
Minimalists	34%	Prioritise function, quality, durability	Core B&M; value store shopper — high conversion at pin level
Premium Seekers	31%	Gen X; quality upgrades, luxury signals	Accessible-premium play; less core Zudio
Trend-Firsts	21%	Gen Z; speed-to-market, affordable upgrades	Zudio growth engine — high frequency, trend-chasing
Culture Enthusiasts	14%	India-centric design, cultural resonance	Ethnic wear pull — ethnic allocation in wallet model

DELOITTE-FICCI REPORT (AUGUST 2025)

\$1.06T	\$1.93T	\$250B	43%	60%+	73%
India total retail 2025	Target by 2030	Gen Z spending power 2025	Gen Z share of consumption 2025	E-comm txns from T2/T3	Decisions online-influenced

KEY INSIGHTS

- Spend behaviour shift:** Consumers directing extra spend toward upgrading quality not buying more volume — wallet size per capita rising in apparel even if basket count is flat. [\[MODEL INPUT\]](#)
- Occasion-driven premium:** Most premium fashion bought around discounts, festive periods or special occasions. Seasonality/occasion multiplier matters more in higher-income pins than assumed. [\[MODEL INPUT\]](#)

- **Agentic commerce rising:** AI-integrated buying reshaping T1 discovery. Offline store potential models for high-income pins need an online cannibalisation discount applied.
- **D2C market crossed \$80B (2024):** On track to exceed \$100B in 2025. Potential wallet leakage from B&M; especially where online delivery is strong.

\$60.1B	\$124.3B	12.87%	\$13.5B	16.7%	\$39.7B
Total fashion retail 2024	Forecast 2030	CAGR 2024–30	Fast fashion 2025	Fast fashion CAGR to 2032	Fast fashion 2032P

RETAIL REAL ESTATE — SUPPLY-SIDE DATA

Retail Segment	Share of Leasing Volume	Implication for Store Count Model
Mid-segment brands	40%	Dominant leaseholder in organised fashion real estate — Zudio's core competitive space
Value segment brands	38%	Closely competing — fast-follower expansion
Premium / Luxury / Others	22%	Smaller physical footprint; higher per-sqft rents

REGIONAL DEMAND DISTRIBUTION — PIN-LEVEL MODEL INPUT

Region	Apparel Demand Share	Notes
Urban (Metro + T1)	60%	Fashion + premium brands; trend-forward; high online penetration
T2/T3 cities	~40% (fast-growing)	Value-segment dominated; unorganised-to-organised transition underway
North India	~30% of metro share	Key launchpad for brands; fashion-conscious; high wallet density

ORGANISED RETAIL EXPANSION (2025)

1,800+	700+	■95–100B	14–16%
New organised stores in 2025	Zudio cumulative outlets	Organised fashion by FY28	Organised annual growth

KEY INSIGHTS

■ 1,800+ organised stores in 2025: Record new store openings. Increasing density at pin level means saturation signals matter — the store potential model needs competitive store count per pin. [MODEL INPUT]
■ Mid + value = 78% of retail leasing: Physical retail real estate is dominated by mid and value players. Validates Zudio's ability to scale B&M; even as luxury brands prefer prime malls. [ZUDIO EDGE]
■ Unorganised supply fragmentation: 70%+ of garment manufacturers are unorganised. Quality inconsistency = structural differentiation for Zudio's consistent quality at value prices. [ZUDIO EDGE]

21.1%	\$56.2B	\$17.83B	15%	55%+	Women
Online fashion CAGR 2026–30	Incremental online 2026–30	Apparel online 2024	Online penetration mid-2025	New online buyers from T2/T3	Largest online segment 2024

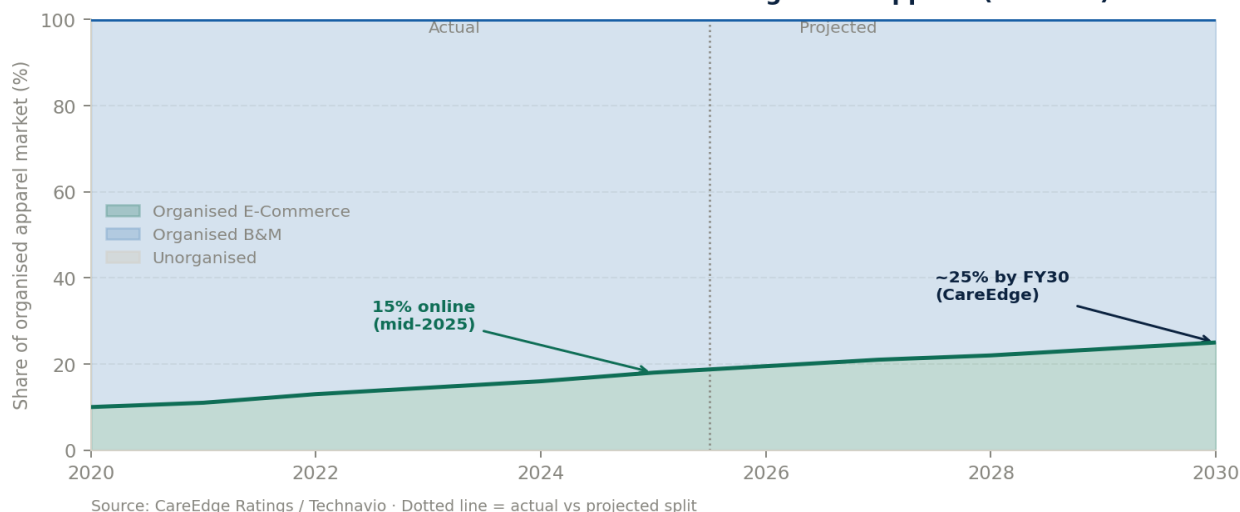
Exhibit 6 — Online vs B&M Penetration in Organised Apparel (2020–30)

Exhibit 6 — Online vs B&M; penetration in organised apparel 2020–30. Online grows from ~10% (2020) to ~25% by FY30. B&M; still dominant — particularly in T2/T3 cities.

Key model input: For every Rs 100 of apparel wallet at a pin, Rs 15–22 is already going online and growing. B&M; store potential must incorporate an online leakage adjustment — apply 18–22% discount in Metro/T1 pins, 8–12% in T2/T3.

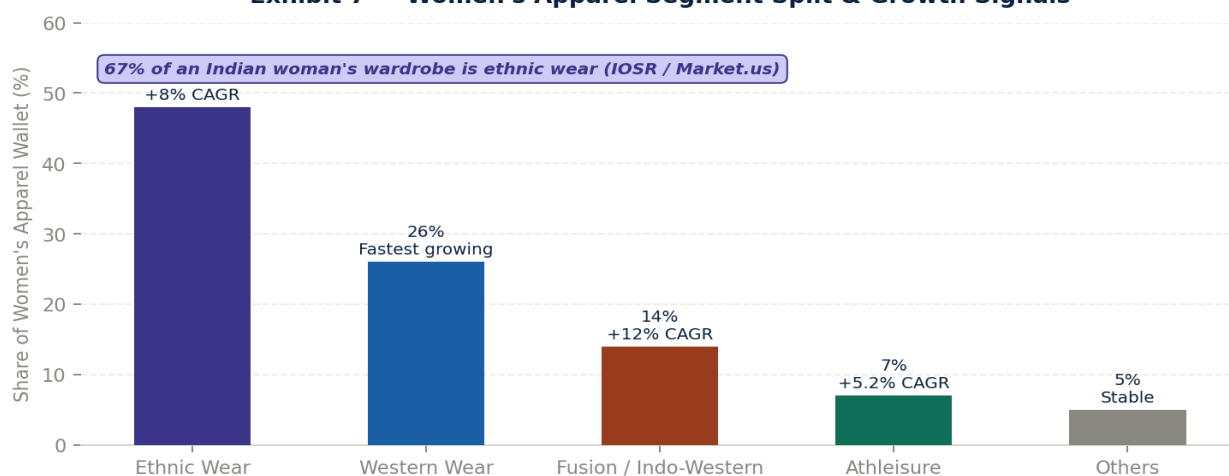
KEY INSIGHTS

- **Online cannibalisation is real but uneven:** Leakage concentrated in T1/Metro and women's apparel + ethnic (discovery-led via influencers). T2/T3 B&M; stores have far less leakage — infrastructure gaps protect physical stores. **[MODEL INPUT]**
- **T2/T3 online growth paradox:** 55%+ of new e-commerce buyers are from T2/T3, but physical value retail expanding simultaneously. Both channels growing — net wallet expansion, not substitution.
- **High return rates favour B&M;:** Return rates ~40% in some online categories remain a major profitability drag. Favours physical for impulse/value categories that Zudio targets. **[ZUDIO EDGE]**
- **Women's apparel largest online segment:** Ethnic wear growing fast online via influencer-led discovery. Zudio needs strong social/online discovery presence even as a B&M; brand. **[ZUDIO EDGE]**

Ethnic wear accounts for 67% of the average Indian woman's wardrobe. Gen Z is driving desi fast fashion — blending ethnic silhouettes with western speed-to-market. One of the fastest-growing sub-segments with deep relevance to Zudio's women's ethnic line.

1.68T	67%	\$13.5B	16.7%	\$39.7B
Women's ethnic wear FY25E	Ethnic share of wardrobe	India fast fashion 2025	Fast fashion CAGR	Fast fashion 2032P

Exhibit 7 — Women's Apparel Segment Split & Growth Signals



Source: Market.us, Statista/Technopak, Unicommerce · Note: segment shares are illustrative allocation based on cross-source data

Exhibit 7 — Women's apparel segment split by wallet share. Ethnic wear dominates at 48% of apparel spend. Western and fusion are the fastest-growing sub-segments driven by Gen Z.

WOMEN'S WEAR SEGMENT SPLIT

Segment	Key Driver	Zudio Relevance
Ethnic wear (~48% apparel spend)	Festival/occasion + daily casual	Core — Zudio's kurtas, suits, dupattas
Western wear (fastest growing)	Workplace, college, Gen Z casual	Growing — tops, denims, co-ords
Fusion / Indo-western	Gen Z trend-forward blending	Emerging — co-ord sets, midi skirts, printed kurta+jeans
Athleisure	Rs 24,800 Cr by 2032 (5.2% CAGR)	Small but growing for Zudio

KEY INSIGHTS

- Indo-western fusion fastest-growing sub-category:** Gen Z fusing ethnic and western silhouettes. Zudio's hybrid ethnic-western range is directly in the sweet spot. [\[ZUDIO EDGE\]](#)
- Gen Z buys 30–40% more frequently than millennials:** Combined with ethnic's 67% wardrobe share, creates very high replenishment demand — strong driver of per-store revenue model. [\[MODEL INPUT\]](#)
- Festival + wedding occasion multiplier:** Multiple occasions per year (Navratri, Diwali, Eid, weddings) create seasonal spikes. Seasonal multiplier on ethnic is meaningfully higher than western. [\[MODEL INPUT\]](#)

■ **T2/T3 unorganised-to-organised transition = pure wallet capture:** Growing aspirational demand for branded ethnic at affordable prices. Local boutique displacement = incremental wallet for Zudio's store potential model. **[ZUDIO EDGE]**

12–17%	15–20%	430M	1B	66%	67%
India non-luxury 2025E	India luxury 2025E	India middle class today	Middle class by 2050	Population under 35	Execs bullish on India 2025

Exhibit 5 — India vs Global Fashion Retail Growth 2025E

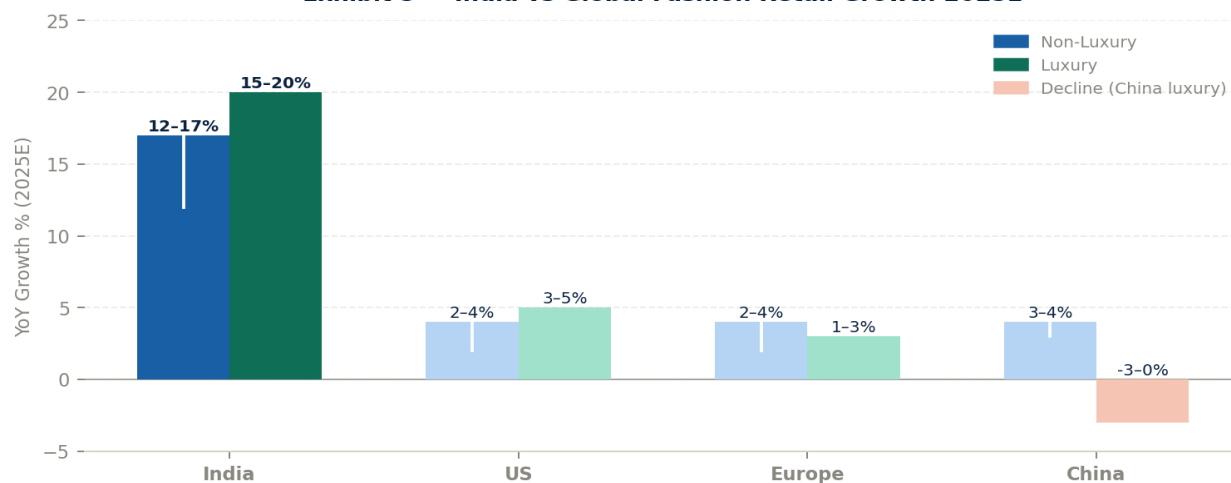


Exhibit 5 — India vs Global fashion retail growth 2025E. India non-luxury (12–17%) and luxury (15–20%) far outpace US, Europe and China. China luxury showing -3 to 0% — global brands pivoting to India.

INDIA GROWTH VS GLOBAL — RATE BENCHMARKS

Market	Non-Luxury 2025E	Luxury 2025E	Key Dynamic
India	12–17%	15–20%	Highest growth market globally — structural, not cyclical
US	2–4%	3–5%	Mature market; modest growth
Europe	2–4%	1–3%	Flat to modest growth
China	3–4%	-3 to 0%	Decelerating sharply — brands pivoting to India

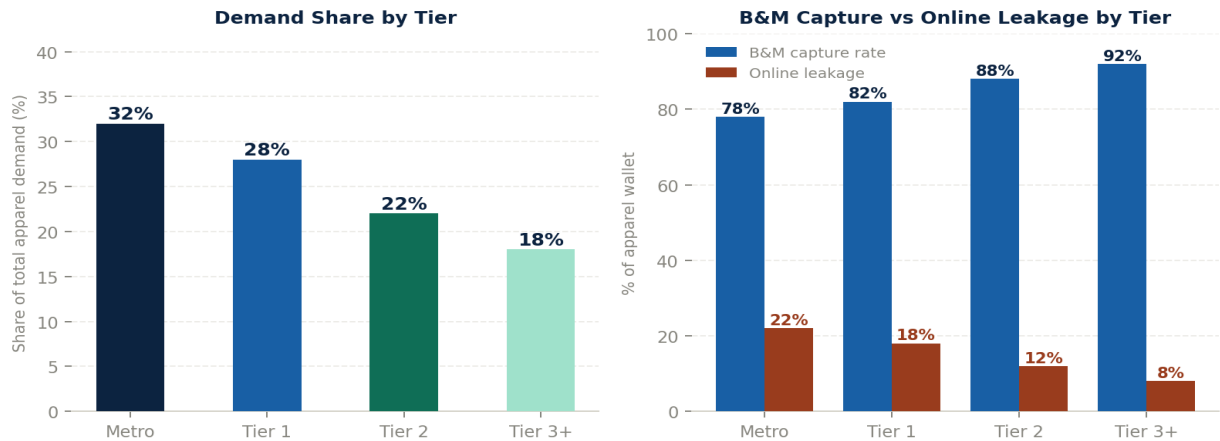
INDIA-SPECIFIC STRUCTURAL INPUTS — MULTIPLIER CALIBRATION

■ Mid-market = core growth engine: Zudio sits at the bottom of mid-market / top of value — perfectly positioned at the inflection point of India's fastest-growing segment. [ZUDIO EDGE]
■ India fashion wallet allocation: Indian shoppers spend 40% on apparel (vs 52% global). Wallet model must reflect this gap vs global comps — apparel is underpenetrated and growing. [MODEL INPUT]
■ Only 12% of India's fashion bought online: Myntra CEO confirmed 2024 data. 75M Gen Z fashion buyers, only 16M on Myntra. Massive physical store opportunity remains — validates B&M; store potential premise. [MODEL INPUT]
■ 9 of top 20 apparel brands are domestic: India-first brands dominating ethnic + value. Zudio as a domestic brand has higher capture rate per pin vs international entrants. [ZUDIO EDGE]
■ Infrastructure is the binding constraint: Limited high-quality T1 malls; T2/T3 infrastructure lagging consumption. Physical presence beats pure e-commerce in emerging cities. [MODEL INPUT]

Cross-Source Synthesis

Triangulation Inputs Summary

Exhibit 8 — Tier-Wise Demand Share & B&M Capture Rate for Store Potential Model



Source: CareEdge / TechSci / Technavio cross-source triangulation · Online leakage = modelled estimate for B&M discount factor

Exhibit 8 — Tier-wise demand share and B&M; capture rate. Metro/T1 commands higher wallet size but 18–22% leaks online. T2/T3 has lower wallet but 88–92% B&M; capture rate — optimal for Zudio's store model.

FOR BRAND FINANCIALS TRIANGULATION (TASK 2)

CareEdge is your anchor number. Organised B&M; apparel = ~19% of Rs 9.3L Cr total = ~Rs 1.77L Cr today, growing at 10–13% annually. Top-7 retailers take 16% of that organised slice. Value fashion sub-market = Rs 3.5L Cr (FY24) → Rs 5.0L Cr (FY30) at 7% CAGR. This is the base your multiplier triangulates against.

FOR WALLET MODEL — MPCE CATEGORY ALLOCATION

Input	Value / Finding	Source
Apparel share of Indian fashion wallet	40% (vs 52% global avg)	McKinsey SoF 2025
Women's ethnic wear FY25E	■1.68T	Statista / Technopak
Ethnic share of woman's wardrobe	67%	Market.us / IOSR
Online penetration (fashion)	15% mid-2025 → 22–25% by FY30	Technavio / CareEdge
Online leakage — Metro/T1 pins	Apply 18–22% discount to B&M; wallet	Model implication
Online leakage — T2/T3 pins	Apply 8–12% discount only	Model implication
Value fashion CAGR	7% CAGR to FY30	CareEdge Ratings
Fast fashion growth	16.7% CAGR to 2032	Coherent MI Research
Gen Z purchase frequency premium	30–40% above millennials	Myntra CEO / Deloitte

FOR TIER MODEL (TASK 1) — SPLIT BENCHMARKS

Tier	Demand Share	B&M; Capture	Key Dynamic
Metro	~32%	~78%	High wallet; high online leakage; premium/mid dominant

Tier 1	~28%	~82%	Strong wallet; some leakage; Zudio growing fast
Tier 2	~22%	~88%	Lower wallet; low leakage; unorg→org transition underway
Tier 3+	~18%	~92%	Smallest wallet; almost no online; pure B&M; opportunity

ZUDIO STRUCTURAL POSITIONING — SUMMARY

■ 55% of consumers are natural Zudio buyers: 34% Minimalists + 21% Trend-Firsts per Deloitte cohort model. Largest combined segment by far. [ZUDIO EDGE]
■ GST tailwind is a real P&L; lever: Sub-Rs 2,500 apparel dropped 12% → 5% GST. Entire Zudio price architecture benefits. ~60–70bps EBITDA improvement or equivalent pricing headroom. [MODEL INPUT]
■ B&M; validated by low online penetration: 88% of India's fashion still bought physically (2024). Store potential model is robust and far from saturated, especially T2/T3. [MODEL INPUT]
■ Ethnic + western portfolio covers the full growth curve: Ethnic (67% wardrobe, occasion cycles) + western/fusion (fastest-growing, Gen Z) — dual-category presence captures both structural demand pools. [ZUDIO EDGE]
■ Unorganised-to-organised transition = incremental wallet: In T2/T3, local boutique displacement is not market share from competitors — it is net new wallet entering organised retail. [MODEL INPUT]